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The Hullabaloo about Dividends

There is a considerable degree of twisted thinking and general acceptance of half truths about a number of aspects of common stock investments. However, whenever the significance and importance of dividends are considered, the confusion of the typical investor becomes little short of monumental.

This confusion and acceptance of half truths spreads over even to the choice of words customarily used in describing various types of dividend action. A corporation has been paying no dividend or a small one. Its president requests the board of directors to start paying a substantial dividend. This is done. In speaking of this action he or the board will often describe it by saying that the time had come to “do something” for stockholders. The inference is that by not paying or raising the dividend the company had been doing nothing for its stockholders. This could possibly be true. However, it certainly was not true just because no dividend action had been taken. It is possible that by spending earnings not as dividends but to build a new plant, to launch a new product line, or to install some major cost-saving equipment in an old plant, the management might have been doing much more to benefit the stockholder than it would have been doing just by passing these earnings out as dividends. No matter what might be done with any earnings not passed on as dividends, increases in the dividend rate are invariably referred to as “favorable” dividend action. Possibly with greater reason, reduction or elimination of dividends is nearly always called “unfavorable.”

One of the main reasons for the confusion about dividends in the public mind is the great variation between the amount of benefit, if any, that accrues to the stockholder each time earnings are not passed on to him but retained in the business. At times he is not benefited at all by such retained earnings. At others he is benefited only in a negative sense. If the earnings were not retained, his holdings would decrease in value. However, the retained earnings in no sense increase the value of his holdings, therefore, they seem of no benefit to him. Finally, in the many cases where the